

Cyber Trends for Contractors



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Learning Objective 1: Cyber Resilience is Critical for Contractors

- Multifactor Authentication
- Employee Cyber Training/Phishing
- Email Security
- Access Management
- Incident Response/Disaster Recovery Plans
- 24/7 Security Operations Center (SOC)
- Endpoint Detection & Response



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Why are Contractors Particularly Vulnerable?

Relatively weak cyber protections and controls

Lack of regulatory requirements & guidance

Increasing reliance on tech (e.g. – connected job site, Industrial Control Systems, digital blue-prints, etc.)

Valuable data (employee info, confidential information, etc.)

Reliance on vendors, sub-contractors, and 3rd parties

Decentralized IT network (e.g. – trailers on-site with servers)



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Cyber Threats

Ransomware

Fraudulent Wire Transfers

Downtime /
Business
Interruption

Data Breach
- Breach of Bid Data
- Breach of
Intellectual Property



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Ransomware

Construction is one of the top industries targeted by ransomware attacks, according to a NordLocker analysis of 1,200 companies in 35 industries around the world, that were the victims of cyber extortion between 2020 and 2021*

What's the impact?

- Cost to eradicate threat actors, restore systems, forensics and public relations
- Cost to protect individuals whose data was exposed (employees, customers, others)
- Business Interruption – lost revenue, lost customers, lost market share, missed bids, fake invoicing / fraud, inability to send / accept payments (including paychecks!)

22 Days
Average length of time
down time from a
Ransomware event



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www.constructionrisk.com, March 3, 2023

Contractors in the News

Bird Construction	Bam Construct	Solid Bridge Construction
• Ransomware for financial gain • \$9M Ransom demand made	• Ransomware for delay and disruption	• Business Email Compromise (BEC) • \$210,312 payment

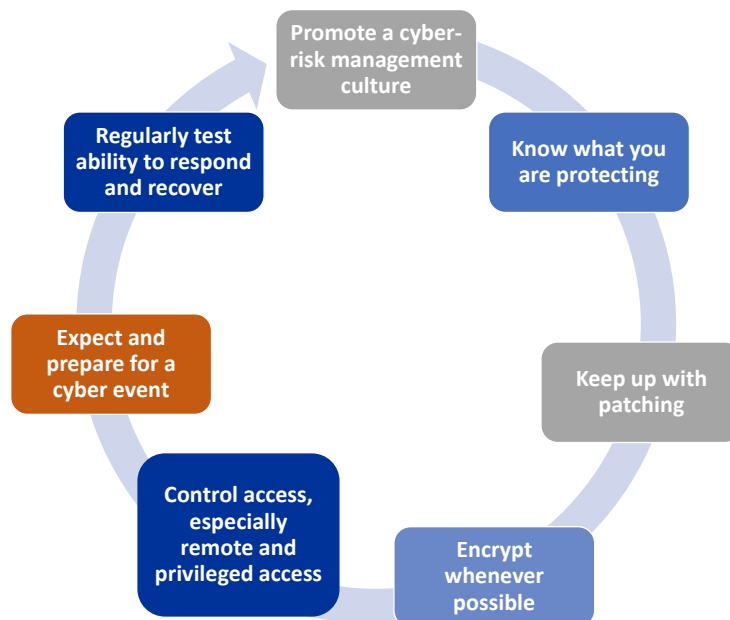
[Ransomware attack on construction company raises questions about federal contracts | CBC News](#), Jan 26, 2020
[Bam Construct and Interserve hit by cyber attacks | Construction News](#), May 12, 2020
[Email scammer pleads guilty to defrauding Texas firms out of more than \\$500,000 \(cyberscoop.com\)](#), June 4, 2020
[*www.constructionexec.com](#), March 3, 2022



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Risk Mitigation

A study conducted by [IBM Ponemon](#) found that **74% of construction-related organizations are not prepared for cyberattacks** and do not have an incident response plan in place.



[*www.constructionexec.com](#), March 3, 2022



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Risk Mitigation Spotlight – Vendor Management

- Supply chain management – Contracts with subcontractors, suppliers and others are an essential component of mitigating cyber risk.
- Due to the long and complex supply chain associated with construction companies, understanding the security posture of your vendors and contractors will help you understand your inherent risk.
- Key Controls:
 1. Incorporate cyber risk into your 3rd party risk management program
 2. Identify the risks of the 3rd party organizations you work with
 3. Assess the cybersecurity processes of 3rd parties that access or retain critical data, or that are critical to your business operations
 4. Continuously monitor and re-review critical vendors
 5. Include favorable hold-harmless agreements and right-to-audit clauses in contracts
 6. Only allow vendor access where it is required
 7. Actively monitor vendor access to the network and protect with multi-factor authentication (MFA)



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Learning Objective 2: Cyber Systemic Risk

- Quantifiable v Unquantifiable
- Cyber v Traditional Risk



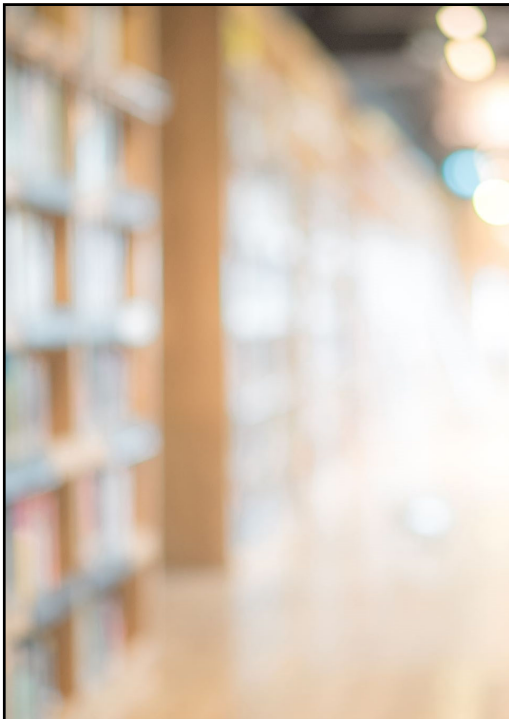
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Cyber Market Trends

- Language Evolution Updates:
 - War Exclusion
 - Critical Infrastructure
 - Wrongful Collection: Biometrics Information Privacy Act (BIPA), Meta Pixel
- Generative Artificial Intelligence
- Pricing, Capacity Availability
- Risk Selection



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Learning Objective 3:

Public Private Partnership

- Nation state backed risk pools
- What will a cyber risk pool look like?
- Do we need one?
- Benefits and opportunities